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**DILIP BATWAL**

SECRETARY, FEDERATION OF CHAKAN INDUSTRIES



**“If fuel gets over, our business gets over but I don’t foresee that happening for the next 10 years when 20 per cent of auto volume will be into EVs”**

**NISHANT SAGAR**

DIRECTOR, DYNA-K AUTOMOTIVE STAMPINGS

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Supriya Badve of Badve Engineering says her company has been able to recover much faster than competitors: “Our CAGR post-pandemic has been much higher compared to our competitors in the Tier I automotive supplier community. The volume drop in the two-wheeler industry has impacted our turnover. However, we have mitigated that impact to a large extent due to our customer-segment diversification and forays into new markets.”

Many players are looking at exports and investing in other businesses to de-risk their domestic businesses. “Our exports were at about 40 per cent last year. At a company level, we have doubled in the past two years. Our dependence on automotive is 100 per cent, which we need to bring down. De-risking is key. By the end of 2024-25, we are aiming to have at least 10 per cent business that is non-auto. We need to find products that align with our product line,” says Sagar of Dyna-K Automotive Stampings.

According to Avalon Consulting, recovery has been mixed for

the auto MSME sector. “Till April-August 2020 there was a lot of distress and some companies survived. Companies that were heavily leveraged had a big problem,” says Subhabrata Sengupta, Executive Director of Avalon Consulting. When the recovery started in July-August, companies struggled to get workers back from their villages. “Now, because of the volumes, some companies may be operating with fewer people than earlier. The sector will have to be the engine of employment generation. Fundamentally, the growth slowdown can be only corrected by increasing demand, not by supply side initiatives,” says Sengupta.

**W**HILE CHAKAN has geographical advantages such as proximity to Mumbai and accessibility to ports, MSME businessmen from Chakan, Talegaon, Ranjangaon, and adjoining areas have long demanded that the planned international airport in Pune should be in Chakan. This will not only help them in exports

but also make it more accessible. Apparently, many big companies invested in this area on the assumption that Chakan will have an international airport, but now there are reports of it being shifted to Purandar.

“We feel cheated. MNCs that invested here 10-15 years ago were told that there will be an international airport for global leaders to come, and cargo facilities taken care of, but that has not happened. It’s very inefficient for them to sustain like this at an auto manufacturing hub contributing lakhs of crores of revenues,” says Dilip Batwal, Secretary of Federation of Chakan Industries.

There are other challenges as well. Badve says local political interference hampers smooth operations, and “labour availability and repeatability during peak volumes has been a persistent issue for all industries in this belt. Infrastructure revamp (quick mode of transportation like metro or monorail) is now the need of the hour considering the large scale of industrialisation and the associated footfall”.

Batwal welcomes the Centre’s ₹76,000-crore scheme to boost semiconductor manufacturing in India. The Ministry of Heavy Industries had also announced that a total of 115 automobile and automobile-related ancillary companies filed for the Production Linked Incentive (PLI) Scheme. But the bummer has been that “the bar to qualify for the scheme has been set too high; SMEs do not come up to that standard and size. So, it has been disappointing”, says Divgi.

The way forward for MSMEs is to not only depend on government schemes and incentives, the companies feel, but also to adapt to the fast technological developments happening in the automotive sector. And Pune’s auto MSMEs are possibly best placed to take these challenges head-on. **BT**

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